# THE UNION DUTIES OF EXCISE (DISTRIBUTION) ACT, 1979

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## ARRANGEMENT OF SECTIONS

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SECTIONS


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# THE UNION DUTIES OF EXCISE (DISTRIBUTION) ACT, 1979

## ACT NO. 24 OF 1979

[20*th May*, 1979.]

An Act to provide for the payment out of the Consolidated Fund of India of sums equivalent to a part of the net proceeds of certain Union duties of excise to the States to which the law imposing the duty extends and for the distribution of those sums among those States in accordance with the principles recommended by the Finance Commission in its[1][report dated the 25th day of November, 1994].

BE it enacted by Parliament in the Thirtieth Year of the Republic of India as follows:—

**1. Short title and commencement.**—(*1*) This Act may be called the Union Duties of Excise (Distribution) Act, 1979.

(*2*) It shall be deemed to have come into force on the 1st day of April, 1979.

[2]**[2. Definition.**—In this Act, the expression "distributable Union duties of excise" means [3][forty-seven and a half per cent.] of the net proceeds of Union duties of excise, levied and collected under the Central Excises and Salt Act, 1944 (1 of 1944) and any other law for the levy and collection of such duty, unless the law earmarks the proceeds of the duty for any special purpose.

*Explanation.*—The expression "net proceeds" has the same meaning as in clause (1) of article 279 of the Constitution.

[4][**3.Payment to States of sums equivalent to a part of the net proceeds of Union duties of excise and distribution of sums among them.**—During the financial year commencing on the 1stday of April, 1995,and each of the four succeeding financial years, there shall be paid, out of the Consolidated Fund of India, to the States, sums equivalent to the distributable Union duties of excise levied and collected in that year and,—

(*a*)sixteen-nineteenth of the sums so payable during each such financial year shall be distributed to each of the States specified in column (1)of Table I below in such percentage as is set out against it in column (2)thereof; and

(*b*)three-nineteenth of the sums so payable during each such financial year shallbe distributed to each of the States specified in column (1)of Table II below in such percentage as is set out against it in column (2)thereof with respect to that financial year:—

TABLEI

| State | Percentage |
|---|---|
| (1) | (2) |
| Andhra Pradesh . . . . . | 8.465 |
| Arunachal Pradesh . . . . . | 0.170 |
| Assam . . . . . | 2.784 |
| Bihar . . . . . | 12.861 |
| Goa . . . . . | 0.180 |
| Gujarat . . . . . | 4.046 |

1. Subs. by Act 31 of 1995, s. 2, for "second report dated the 18th day of December, 1989" (w.e.f. 1-4-1995).
2. Subs. by Act 17 of 1989, s. 3, for sections 2 and 3 (w.e.f. 1-4-1989).
3. Subs. by Act 31 of 1995, s. 3, for "forty-five per cent." (w.e.f. 1-4-1995).
4. Subs. by s. 4, *ibid*., for section 3 (w.e.f. 1-4-1995).

| (1) | (2) |
|---|---|
| Haryana | 1.238 |
| Himachal Pradesh | 0.704 |
| Jammu and Kashmir | 1.097 |
| Karnataka | 5.339 |
| Kerala | 3.875 |
| Madhya Pradesh | 8.290 |
| Maharashtra | 6.126 |
| Manipur | 0.282 |
| Meghalaya | 0.283 |
| Mizoram | 0.149 |
| Nagaland | 0.181 |
| Orissa | 4.495 |
| Punjab | 1.461 |
| Rajasthan | 5.551 |
| Sikkim | 0.126 |
| Tamil Nadu | 6.637 |
| Tripura | 0.378 |
| Uttar Pradesh | 17.811 |
| West Bengal | 7.471 |

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TABLEII

| State | Financial year and percentage | | | | |
|---|---|---|---|---|---|
| (1) | (2) | | | | |
| | 1995-96 | 1996-97 | 1997-98 | 1998-99 | 1999-2000 |
| Andhra Pradesh | 12.069 | 7.988 | 0.000 | 0.000 | 0.000 |
| Arunachal Pradesh | 3.410 | 4.300 | 5.871 | 6.224 | 6.667 |
| Assam | 8.543 | 9.836 | 11.849 | 10.748 | 9.290 |
| Bihar | 6.434 | 2.965 | 0.000 | 0.000 | 0.000 |
| Goa | 0.973 | 1.058 | 1.161 | 0.917 | 0.604 |
| Himachal Pradesh | 8.816 | 10.744 | 14.057 | 14.230 | 14.338 |
| Jammu and Kashmir | 13.366 | 16.491 | 21.985 | 22.741 | 23.700 |
| Manipur | 3.930 | 4.891 | 6.602 | 6.917 | 7.348 |
| Meghalaya | 3.590 | 4.403 | 5.815 | 5.994 | 6.130 |
| Mizoram | 3.676 | 4.628 | 6.278 | 6.784 | 7.074 |

| (*1*) | | | (*2*) | | |
|---|---|---|---|---|---|
| Nagaland | 5.818 | 7.417 | 10.247 | 11.072 | 12.025 |
| Orissa | 4.815 | 5.248 | 4.934 | 2.773 | 0.680 |
| Rajasthan | 0.835 | 0.000 | 0.000 | 0.000 | 0.000 |
| Sikkim | 1.199 | 1.473 | 1.938 | 1.982 | 2.055 |
| Tripura | 5.465 | 6.807 | 9.263 | 9.618 | 10.089 |
| Uttar Pradesh | 17.061 | 11.751 | 0.000 | 0.000 | 0.000.]] |

**4. Payment to be charged on the Consolidated Fund of India.**—The expenditure on the payments in pursuance of section 3 shall be charged on the Consolidated Fund of India.

**5. Power to make rules.**—(*1*) The Central Government may, by notification in the Official Gazette, make rules providing for the time at which and the manner in which, any payments under this Act are to be made, for the making of adjustments between one financial year andanother and for any other incidental or ancillary matters.

(*2*) Every rule made under this section shall be laid, as soon as may be after it is made, before each House of Parliament, while it is in session, for a total period of thirty days which may be comprised in one session or in two or more successive sessions, and if, before the expiry of the session immediately following the session or the successive sessions aforesaid, both Houses agree in making any modification in the rule or both Houses agree that the rule should not be made, the rule shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification of annulment shall be without prejudice to the validity of anything previously done under that rule.

**6. Repeal.**—The Union Duties of Excise (Distribution) Act, 1962 (3 of 1962), shall, as from the 1st day of April, 1979 stand repealed.

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